

The complaint

Miss S complains about Santander UK Plc.

She is unhappy that Santander won't refund her the money she lost when she fell victim to a scam and lost £2,322.

What happened

In April 2025, Miss S unfortunately fell victim to a job scam on social media where she was required to like and share videos online.

During the scam, she made four faster payments of £142 and received six credits of £120, leaving her with a loss of £22. She then made five card payments to her own bank account with 'R' totalling £2,180.

Soon after making these payments, Miss S realised she had been the victim of a scam and disputed the transactions with Santander.

Santander agreed that Miss S had been the victim of a scam, but it declined to refund her under the new Reimbursement Rules. It explained that some of the payments Miss S made were not covered under the new rules, and it was allowed to apply an excess of £100 to any claim.

Miss S then brought her complaint to this Service and our Investigator looked into things. They explained that Santander was entitled to apply the £100 excess to Miss S's claim, and that they didn't find that Miss S was vulnerable to the scam, and that there was nothing further Santander could have done to prevent the scam. They also explained that they thought Santander had done what it could to try and recover the funds from the beneficiary banks.

Miss S asked for an Ombudsman to make a final decision, so it has been passed to me.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

Having done so, I've come to the same outcome as the investigator for broadly the same reasons.

When considering what is fair and reasonable, I'm also required to take into account: relevant law and regulations; regulatory rules, guidance and standards; codes of practice; and, where appropriate, what I consider having been good industry practice at the relevant time.

In broad terms, the starting position in law is that a firm is expected to process payments and withdrawals that a customer authorises, in accordance with the Payment Services

Regulations and the terms and conditions of the customer's account. However, where the customer made the payment as a consequence of the actions of a fraudster, it may sometimes be fair and reasonable for the bank to reimburse the customer even though they authorised the payment.

In 2024, the PSR required the Faster Payments scheme operator (PayUK) to change the Faster Payment Rules to require the firms that operate over Faster Payments to reimburse their customers sums paid as a result of authorised push payment (APP) scams (herein after referred to as the Reimbursement Rules) in certain circumstances.

In this case, I've first considered whether the Reimbursement Rules and associated guidance issued by the PSR are relevant to the payment in dispute. Where they are relevant, I must have regard to the rules and guidance, as well as considering what is fair and reasonable in all the circumstances of the complaint.

The Reimbursement Rules set out the requirements for a payment to be covered. I've summarised those below:

- The payment must have taken place after 7 October 2024 and have been reported within 13 months after the date of the final covered payment of the scam claim; and
- It must have been made as part of an APP scam (whether to a recipient or for a purpose otherwise than the payer intended); and
- It must have been authorised by the account holder; and
- It must have been made to another UK account that was not under the control of the consumer.

There's no dispute that the above criteria apply to the Faster Payments made by Miss S. However, they don't apply to the payments Miss S made to her own account with R.

And a Payment Service Provider (PSP) will be responsible for reimbursing a maximum of £85,000 from any single APP scam claim.

The Reimbursement Rules set out that the value of the Reimbursable Amount to be credited shall be the full value of all Reimbursable FPS APP scam payments, up to the maximum level of reimbursement and less any claim excess imposed.

It may be helpful to explain that this excess is separate to returning any money the PSP manages to recover from the scammer's account before paying out on a scam claim. However, it's common for the funds to be moved on very quickly – meaning recovery often isn't possible.

By the time Miss S discovered and reported the fraud, the money had already been removed from the receiving accounts by the scammer. So, Santander didn't miss an opportunity to successfully recover the funds from the recipient accounts.

In respect of applying an excess the Rules state that:

Sending PSPs may apply a single claim excess to each FPS APP scam claim, up to the maximum claim excess value set by the PSR and published on their website.....

Sending PSPs may not apply a claim excess if the Victim was a Vulnerable Consumer at the time they made at least one of the FPS APP scam payment(s) within the FPS APP scam

claim and vulnerability affected their ability to protect themselves from the scam.

Again, it's my understanding there's no dispute about any of the criteria above applying, to the faster payments Miss S made, other than whether the excess can be fairly applied.

Looking at Santander's website it does say;

'We'll apply a £100 excess from the total refund. This is a fixed amount for each claim you make. For example, if your claim is for £1000, your refund will be £900. The £100 excess will also apply to all claims under £100. If something prevents you from being able to protect yourself while making a payment, we won't apply the excess.'

So, I have gone on to consider if there was anything about Miss S's personal circumstances that suggests she was unable to protect herself from the scam.

Miss S says that she is vulnerable and so Santander should not have applied the excess to her claim. She has explained that she was under financial pressure at the time due to an upcoming trip and increasing utility bills – and that she had been declined a pay rise at work. She also explained that she was having mould issues in her accommodation and also had a sewage flood in her home. Miss S also shared that she had suffered from a health scare which although has now thankfully turned out to be benign, was impacting her mentally at the time of the payments.

I have thought carefully about what Miss S has shared with this Service – and I do think it is clear that she was having a difficult time, and – I am also pleased that she has received some good news from her GP about her health.

Given everything that Miss S has explained, whilst I think that she was vulnerable at the time that the scam took place and was obviously under stress and financial pressure, I don't think her vulnerabilities necessarily made her more susceptible to the scam she fell victim to or that she was unable to take steps to protect herself.

Looking at the messages exchanged between Miss S and the scammer, it appears that there were several times where she was clearly having doubts about what she was doing and questioned the legitimacy of the 'job'. On several occasions she asks for her money back, and that she doesn't trust the scammer.

I know that within the group chat, other individuals (likely stooges) reassured her that they had received their money, and so Miss S says that she was manipulated into continuing making a payment.

But she soon realised she was being tricked. I think given that Miss S able to question the legitimacy of the 'job' opportunity, I think she could have taken further steps to verify what she was doing, such as undertaking more research outside of the chats into this kind of offer.

Therefore, I'm satisfied it's fair for Santander to apply the excess to Miss S's claim, and I don't find Santander's decision to apply the excess was unfair under the terms of the Reimbursement Rules.

Payments Miss S made not covered by the Reimbursement Rules

As I have set out above, the Reimbursement Rules do not apply to card payments or payments made to an account under the control of the consumer (Miss S) – both of which apply to the remaining payments Miss S made. So, I have also considered if there are any reasons why Santander could be held liable for these payments.

Having taken into account longstanding regulatory expectations and requirements, and what I consider to be good industry practice, Santander ought to have been on the look-out for the possibility of fraud and made additional checks before processing payments in some circumstances – but it can't be expected to intervene in every payment a customer makes.

I have reviewed Miss S's account and the payments she made to the scam. Having considered when they were made, their value and that they were made to an account in her own name, I'm not persuaded Santander ought to have found any of the payments suspicious, such that it ought to have made enquires of Miss S before processing them.

I am very sorry that Miss S has lost her money to a scam, but I don't think Santander made any failings that have caused or contributed to Miss S's loss – including its consideration of her fraud claim under the Reimbursement Rules. I therefore don't think it would be fair and reasonable to direct Santander to refund her

My final decision

I don't uphold this complaint.

Under the rules of the Financial Ombudsman Service, I'm required to ask Miss S to accept or reject my decision before 24 March 2026.

Claire Pugh
Ombudsman